CEO–Employee Political Ideology Misalignment: Variable Construction and Descriptive Evidence

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1 Data and Construction

This report documents the construction and properties of the CEO–employee political ideology misalignment variable used in the main analysis. I describe the underlying data sources, the measurement approach, and provide descriptive evidence on the distribution of misalignment across firms, industries, and time.

1.1 Data Sources

Ideology is measured using DIME CFscores (Bonica, 2014), a unified political ideology scale estimated from the universe of U.S. campaign contribution records. The scale is continuous, with positive values indicating conservative ideology and negative values indicating liberal ideology. By using the same scale for both CEOs and employees, I avoid the cross-methodology comparability issues that would arise from combining different ideology measures.

CEO ideology. I identify CEOs from ExecuComp's annual compensation file (S&P 1500 firms, 2000–2024) and match them to DIME contributor records by name. Of 8,180 unique CEOs in ExecuComp, 4,157 (50.8%) match to a DIME contributor with a valid CFscore. The CEO CFscore is time-invariant (a lifetime estimate from all contributions), so within-firm variation in misalignment over time is driven entirely by changes in employee ideology.

Employee ideology. I match employer names reported by political donors in each two-year election cycle to Compustat firm identifiers (gvkey). For each firm-cycle, I compute the mean CFscore across all matched employee donors. The within-firm standard deviation of employee CFscores captures ideological dispersion within the workforce.

Misalignment. The primary measure is the absolute distance between CEO and mean employee ideology:

$$\text{Misalign}_{it} = |\text{CFscore}_{it}^{CEO} - \overline{\text{CFscore}}_{it}^{Emp}|$$

The signed variant, $\text{CFscore}_{it}^{CEO} - \overline{\text{CFscore}}_{it}^{Emp}$, captures the direction of disagreement: positive values indicate the CEO is more conservative than the workforce.

2 Summary Statistics

Table 1 reports summary statistics for the misalignment measure and its components. Panel A uses the quality-filtered sample requiring at least 20 employee donors per firm-cycle, which ensures reasonable precision in the employee ideology estimate. Panel B relaxes this to 5 donors to demonstrate robustness. The two panels yield similar distributional properties, suggesting that the 20-donor threshold does not induce meaningful selection bias.

In the quality sample, mean absolute misalignment is 0.86 CFscore units (median: 0.74), indicating substantial ideological distance between CEOs and their workforces. CEOs are, on average, moderately conservative (mean CFscore = 0.22), while employees lean liberal (mean = -0.16). The within-firm standard deviation of employee CFscores averages 0.82, reflecting considerable ideological diversity within firms.

Table 1: Summary Statistics of the Misalignment Measure

Variable	N	Mean	SD	P10	P25	Median	P75	P90
Panel A: Quality Sample (at least 20 Employee Donors)								
Misalignment (absolute)	4,667	0.860	0.648	0.104	0.291	0.739	1.334	1.805
Misalignment (signed)	4,667	0.381	1.007	-0.970	-0.257	0.317	1.146	1.738
CEO CFscore	4,667	0.219	0.933	-0.997	-0.812	0.379	1.102	1.398
Employee mean CFscore	4,667	-0.162	0.595	-0.889	-0.663	-0.243	0.292	0.695
Employee SD of CFscore	4,667	0.819	0.282	0.415	0.624	0.853	1.041	1.172
No. employee donors	4,667	255.389	732.161	24.000	34.000	66.000	174.000	520.800

Variable	N	Mean	SD	P10	P25	Median	P75	P90
Panel B: Broader Sample (at least 5 Employee Donors)								
Misalignment (absolute)	8,110	0.875	0.669	0.097	0.286	0.739	1.366	1.874
Misalignment (signed)	8,110	0.382	1.034	-1.007	-0.256	0.310	1.148	1.794
CEO CFscore	8,110	0.276	0.947	-0.996	-0.783	0.525	1.151	1.424
Employee mean CFscore	8,110	-0.106	0.638	-0.891	-0.660	-0.192	0.391	0.815
Employee SD of CFscore	8,110	0.789	0.305	0.347	0.583	0.831	1.025	1.164
No. employee donors	8,110	151.411	568.435	7.000	11.000	26.000	81.000	278.100

Note:
Panel A: 4,667 firm-cycles (1,094 firms, at least 20 donors). Panel B: 8,110 firm-cycles (1,443 firms, at least 5 donors). CFscores range approx. -2 to +2. Financials (SIC 60–67) and utilities (SIC 49) excluded.

3 Time-Series Patterns

Table 2 reveals a striking temporal pattern: while CEO ideology has remained relatively stable around the center-right (mean CFscore declining gradually from 0.459 in 2000 to 0.045 by 2024), employee ideology has shifted markedly leftward, from 0.50 in 2000 to approximately −0.50 by the late 2010s. This divergence has driven a secular increase in CEO–employee misalignment over the sample period. Mean absolute misalignment rose from 0.64 in the 2000 cycle to over 0.936 by 2016 and has remained elevated since.

The donor base has also expanded substantially, from an average of 87 employee donors per firm in 2000 to over 500 in the 2020 presidential election cycle, reflecting both growth in political participation and improvements in DIME coverage over time.

Table 2: Misalignment by Election Cycle

Cycle	N	Mean |Misalign|	Mean Signed	Mean CEO CF	Mean Emp CF	Mean Donors
2000	145	0.645	-0.036	0.459	0.495	87
2002	168	0.730	-0.010	0.442	0.453	111
2004	255	0.775	0.117	0.374	0.257	144
2006	239	0.786	0.216	0.400	0.184	177
2008	373	0.818	0.321	0.267	-0.054	209
2010	284	0.766	0.181	0.322	0.141	199
2012	407	0.848	0.471	0.272	-0.199	222
2014	321	0.832	0.419	0.218	-0.201	199
2016	470	0.936	0.661	0.175	-0.486	231
2018	406	0.911	0.651	0.155	-0.496	204
2020	696	0.922	0.470	0.157	-0.314	506
2022	489	0.917	0.350	0.092	-0.258	299
2024	414	0.916	0.316	0.045	-0.271	249

Note: Quality sample (at least 20 employee donors), excluding financials and utilities.

Figure 1 displays the pooled distributions of CEO and employee ideology. The CEO distribution (orange) is roughly symmetric and centered slightly right of zero, while the employee distribution (blue) is centered to the left.

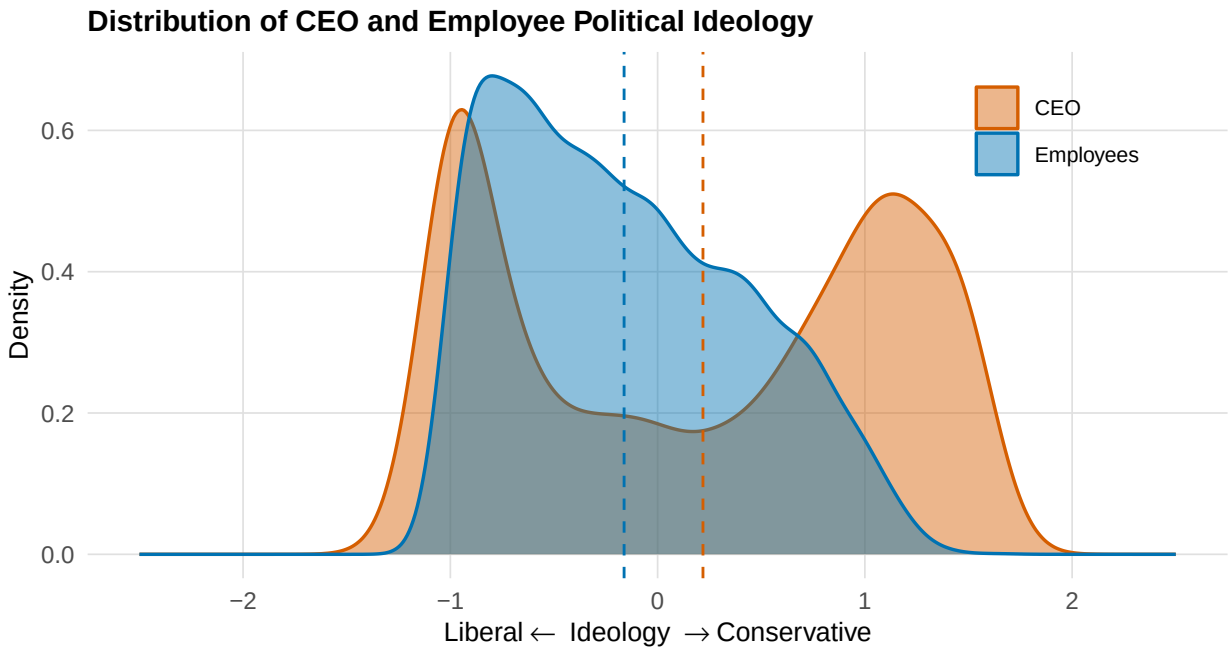

Figure 1: Distribution of CEO and Employee Political Ideology. Vertical dashed lines mark distribution means. CEO ideology (orange) is centered right of zero; employee ideology (blue) is centered left of zero. The gap between the means reflects the average signed misalignment.

Figure 2 plots the time series of mean CEO and employee CFscores across election cycles. The shaded area between the two lines represents the signed misalignment, while annotations report the mean absolute misalignment for each cycle. The widening gap since 2008 is visually apparent: employee ideology dropped sharply while CEO ideology drifted only modestly leftward.

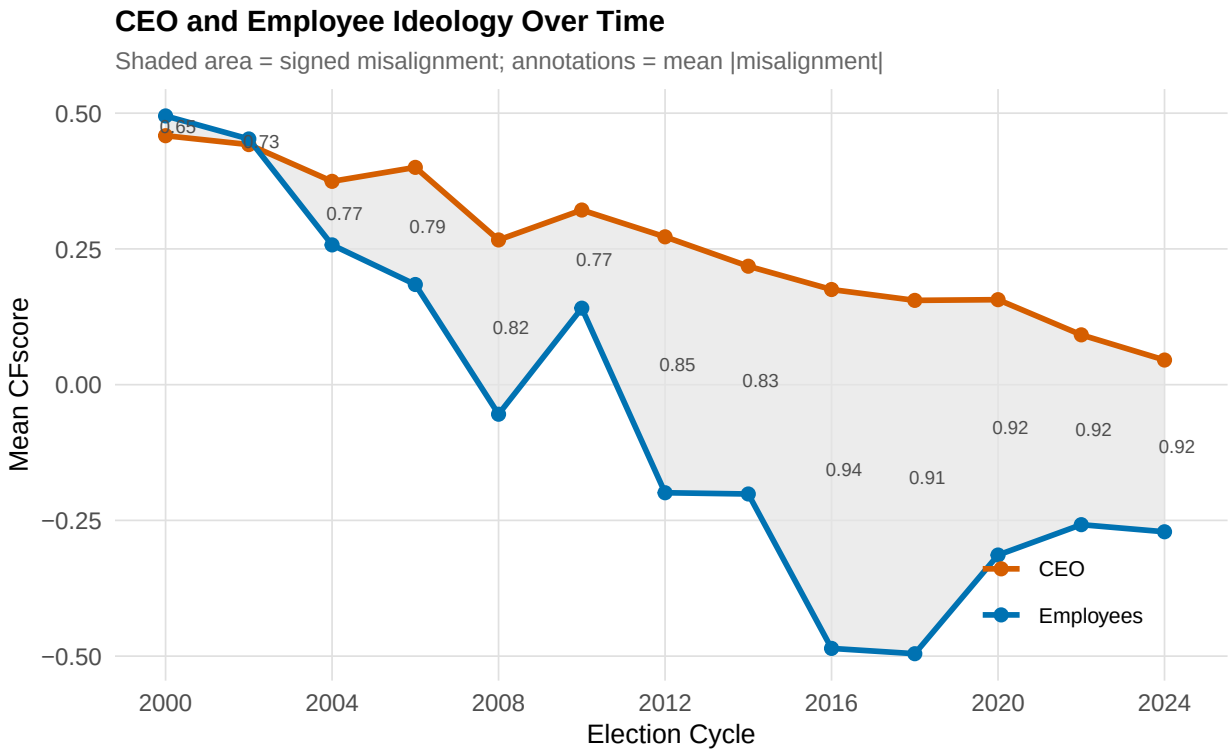

Figure 2: CEO and employee ideology over time. The shaded area represents signed misalignment (CEO minus employee mean). Annotations show mean absolute misalignment per cycle. The widening gap since 2008 reflects the leftward shift in employee ideology.

4 Cross-Sectional Patterns

Table 3 reports misalignment by industry group. Retail/Wholesale firms exhibit the highest mean absolute misalignment (0.99), followed by Technology (0.97) and Manufacturing (0.92). In every industry, the signed misalignment is positive on average, confirming that the CEO-more-conservative pattern is pervasive across sectors rather than driven by a single industry. The variation across industries reflects differences in both CEO and employee ideology: technology firms, for instance, have relatively liberal employees but moderately conservative CEOs, generating high misalignment.

Table 3: Misalignment by Industry

Industry	N	Mean |Misalign|	Mean Signed	Mean CEO CF	Mean Emp CF
Retail/Wholesale	615	0.909	0.398	0.166	-0.232
Technology	1651	0.872	0.486	0.117	-0.369
Manufacturing	1294	0.859	0.276	0.307	0.031
Services	412	0.852	0.477	0.165	-0.312
Mining/Construction	288	0.807	0.107	0.532	0.425
Transportation	368	0.805	0.356	0.245	-0.111
Other	39	0.658	0.327	0.437	0.110

Note: Industry groups based on 2-digit SIC codes. Quality sample (at least 20 employee donors).

Figure 3 visualizes the industry patterns as a horizontal bar chart. Bar color reflects the signed misalignment: warmer (more orange) tones indicate that CEOs are substantially more conservative than employees in that sector.

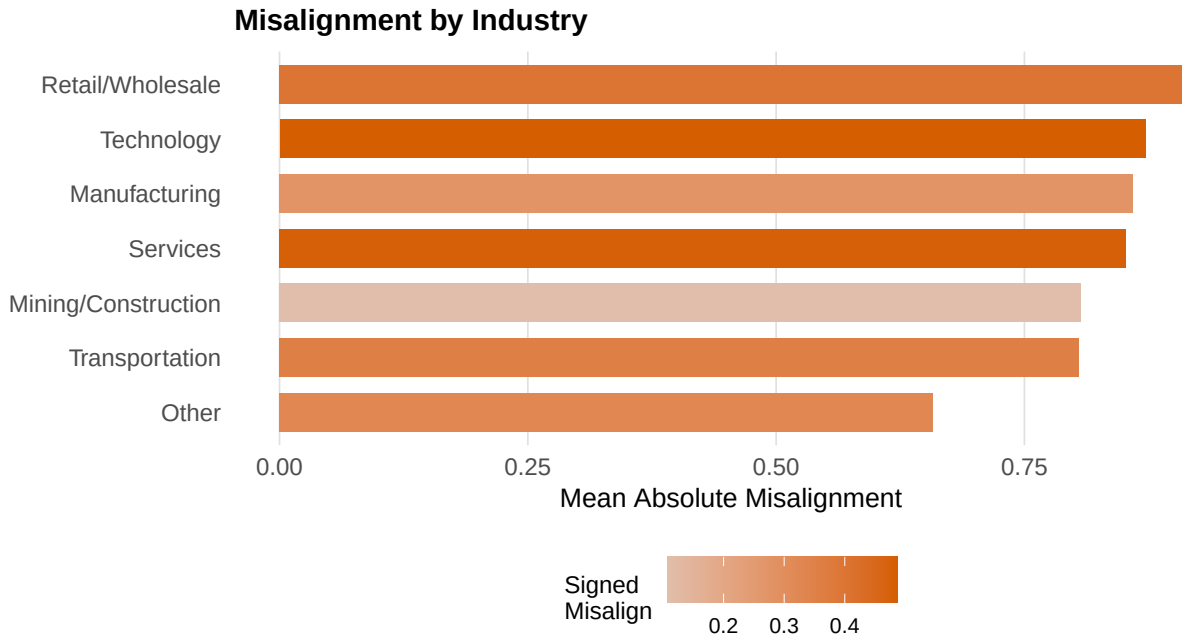

Figure 3: Mean absolute misalignment by industry group. Bar color intensity reflects the signed misalignment (darker orange = CEO substantially more conservative than employees).

Figure 4 is the central visualization of the misalignment construct. Each point represents a firm-cycle, plotted in the space of employee mean ideology (x-axis) versus CEO ideology (y-axis). The 45-degree dashed line marks zero misalignment: points above this line represent firms where the CEO is more conservative than the workforce (orange), while points below indicate the reverse (blue). The pronounced mass of orange points above the diagonal—particularly in the upper-left region (conservative CEO, liberal employees)—confirms that CEO-more-conservative misalignment is the dominant pattern in the data.

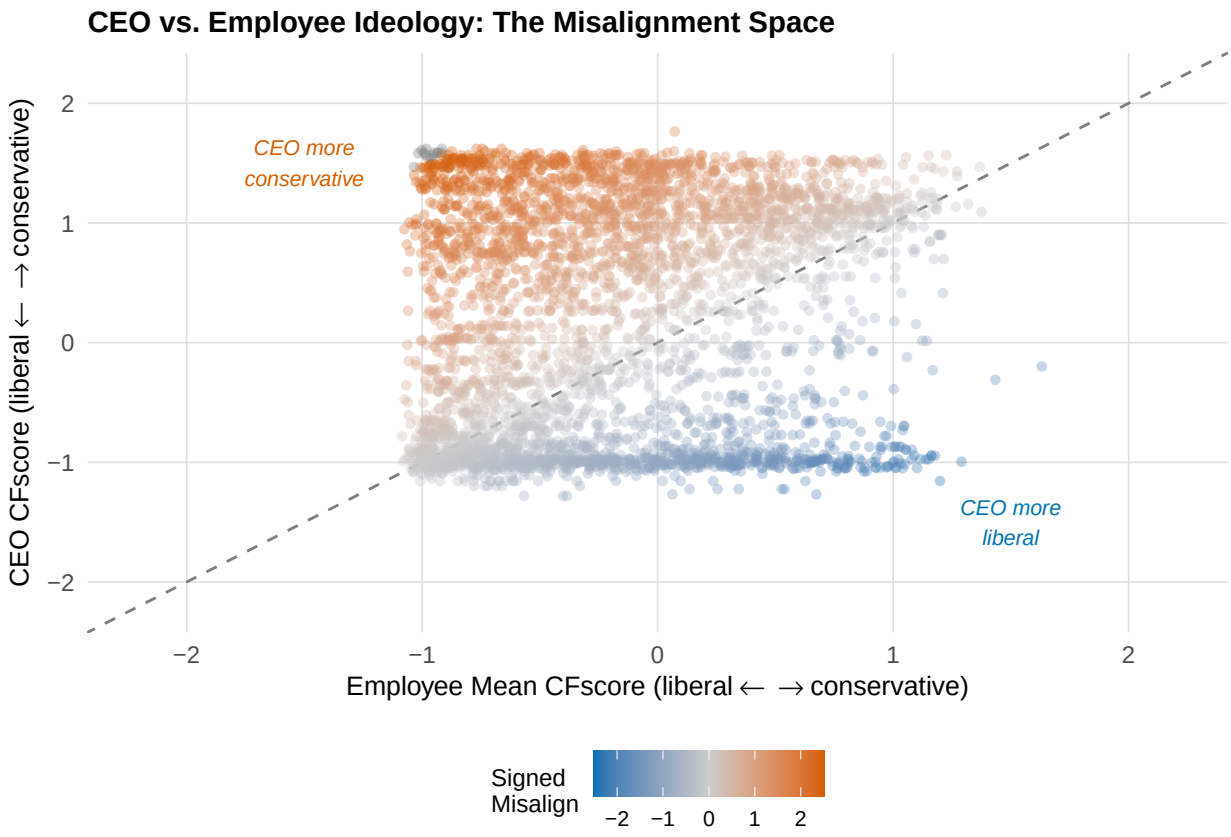

Figure 4: CEO ideology vs. employee mean ideology. Each point is a firm-cycle. The diagonal line marks zero misalignment. Points above the line indicate the CEO is more conservative than employees. The dense cluster in the upper-left quadrant (conservative CEO, liberal employees) drives the measured misalignment.

5 The Asymmetry

A key feature of the misalignment measure is its directional asymmetry: 64% of firm-cycle observations have a CEO who is more conservative than the mean employee donor. This asymmetry is not a mechanical artifact of the scale; rather, it reflects a genuine empirical regularity in which corporate leaders tend to hold more conservative political views than their workforces.

Figure 5 shows the distribution of absolute misalignment, which is right-skewed with a mean of 0.86 and a long right tail extending beyond 2.0 CFscore units. Figure 6 decomposes this into its signed components. The orange mass is visibly larger and extends further from zero, confirming that the asymmetry operates both on the extensive margin (more firms have conservative CEOs) and the intensive margin (the magnitude of conservative-CEO misalignment is larger).

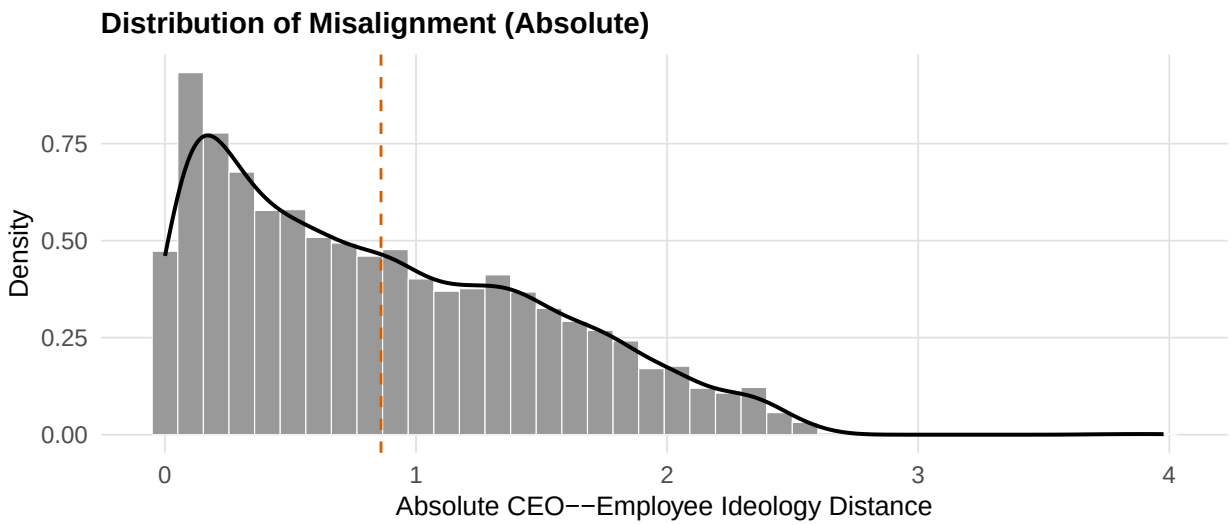

Figure 5: Distribution of absolute CEO–employee ideology misalignment. Vertical dashed line marks the mean. The distribution is right-skewed, with most observations between 0.2 and 1.5 CFscore units.

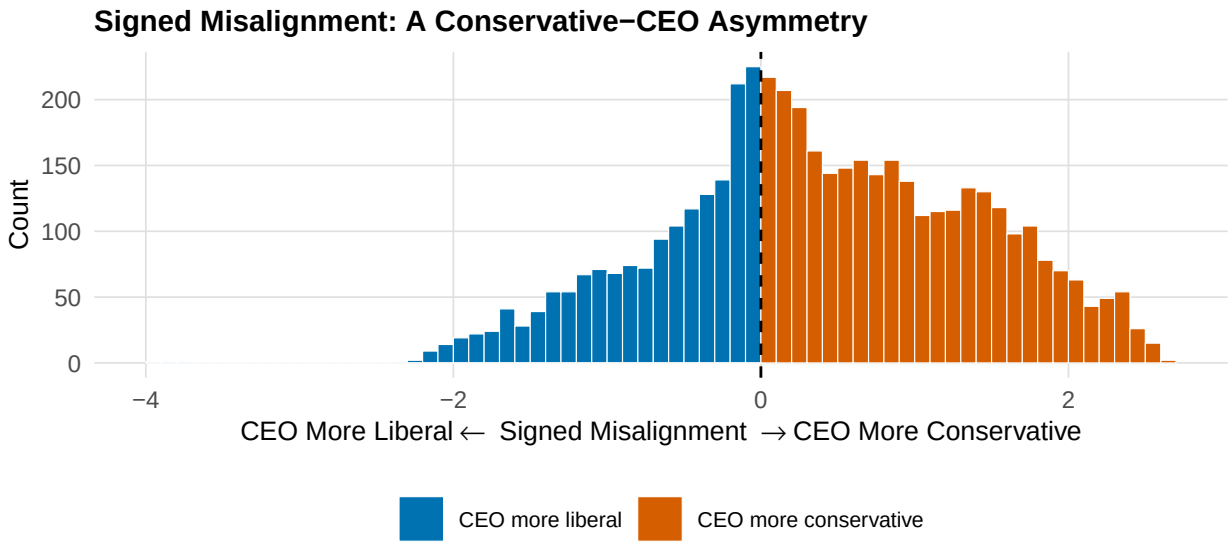

Figure 6: Distribution of signed misalignment. Positive values (orange) indicate the CEO is more conservative than the workforce; negative values (blue) indicate the reverse. Bin breaks are aligned at zero to avoid cross-boundary artifacts.

Figure 7 classifies each firm-cycle into one of four ideology quadrants based on the signs of CEO and employee CFscores. "Red-Blue" firms—those with a conservative CEO (CFscore > 0) and liberal employees (mean CFscore ≤ 0)—constitute the largest category and exhibit the highest mean absolute misalignment (1.45). This quadrant represents the prototypical high-misalignment firm in our sample. By contrast, "same-side" firms (Red-Red or Blue-Blue) show substantially lower misalignment, as expected.

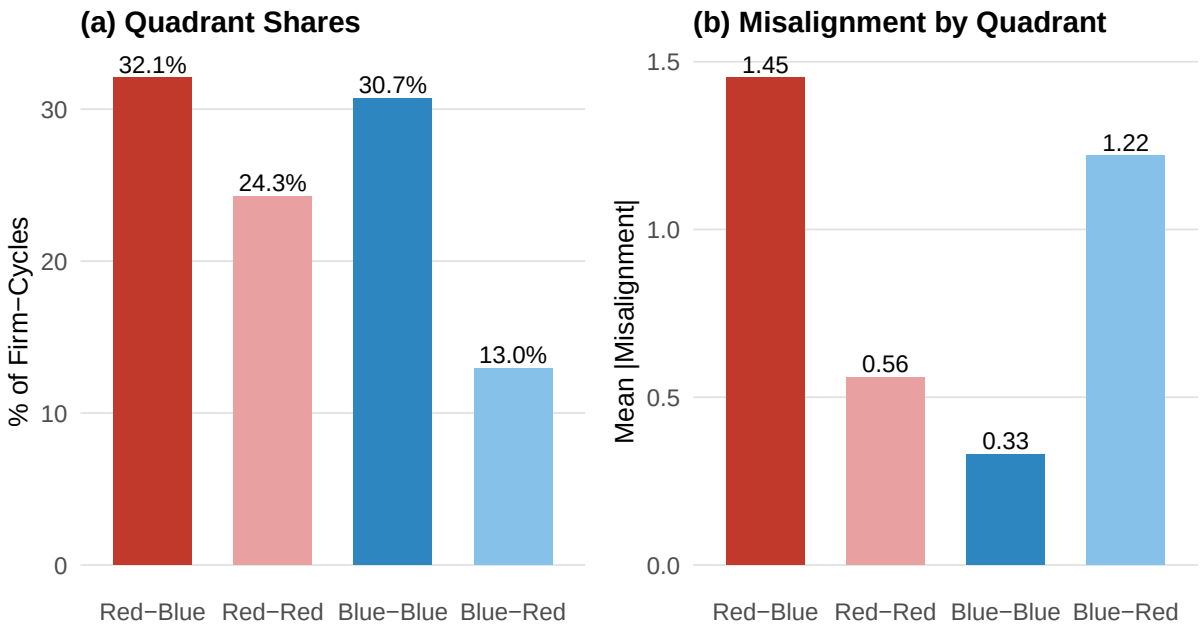

Figure 7: Firm classification into ideology quadrants. Panel (a) shows the share of firm-cycles in each quadrant. Panel (b) shows mean absolute misalignment within each quadrant. Red-Blue firms (conservative CEO, liberal employees) are the most common and most misaligned.

6 Data Quality

The precision of the employee ideology measure depends on the number of employee donors at each firm-cycle. Figure 8 shows the distribution of donor counts on a log scale. The distribution spans three orders of magnitude, from a handful of donors at small firms to over 10,000 at the largest employers. Vertical dashed lines mark common filtering thresholds.

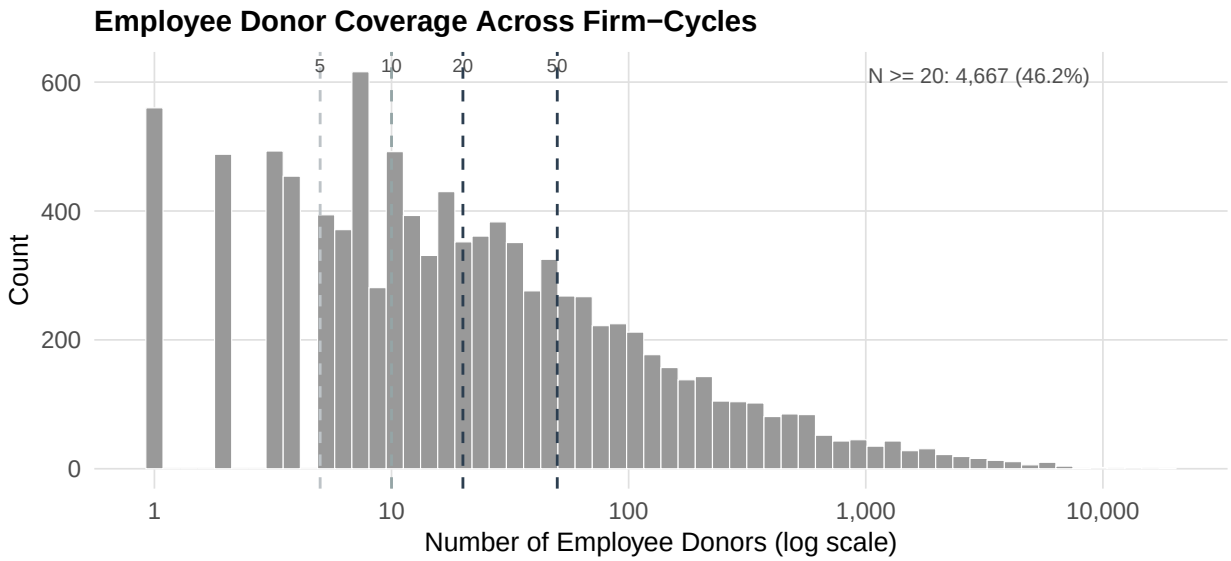

Figure 8: Distribution of employee donor counts per firm-cycle (log scale). Vertical lines mark common filtering thresholds. The analysis uses a quality threshold of 20 donors or more.